

The Dangers of Retrospective Myopia

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Peter Drucker has said that capital formation in the United States is shifting from the entrepreneur who invests in the future to the pension trustee who invests in the past. While Drucker is correct that pension funds are non-entrepreneurial and are increasingly directing the flow of savings, he is wrong if he is implying that pension trustees are basically different from portfolio investors of past eras. Indeed, the history of portfolio investment is a series of responses to the past, some of them clothed in sophisticated terms and unrecognized as being retrospective.

Human behavior relative to the making and losing of money from the purchase and sale of assets is the most reliable, most consistent factor in the investment world. Recognition of this is the most crucial step toward the maturity of any investor. For this reason, I have always told newcomers to the investment business that a study of financial history is at least as important as Modern Portfolio Theory. A reading of Charles Mackay's *Extraordinary Popular Delusions and the Madness of Crowds* written in 1841, is worth every bit as much as the studies of Sharpe, Blume, Friend, and Malkiel. Of more recent vintage, a search of the files for reports by First-Team, All-American analysts of the late 1960's and early